

Northgate Technology Partners

Managed IT Services Provider

CONFIDENTIAL INFORMATION MEMORANDUM

This Confidential Information Memorandum has been prepared solely for the use of prospective purchasers in evaluating a possible transaction involving the Company. It does not purport to be all-inclusive or to contain all information that a prospective purchaser may require. Recipients should conduct their own independent investigation and analysis. Financial information herein is unaudited and has been prepared by management.

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All financial information presented herein is unaudited and derived from management-prepared statements. Certain information has been rounded for presentation. No representation or warranty, express or implied, is made as to the accuracy or completeness of the information contained herein.

1. Executive Summary

Northgate Technology Partners is a managed services provider delivering outsourced IT infrastructure management, cybersecurity monitoring and helpdesk services to mid-market commercial clients in the Southeast.

Founded in 2009 and headquartered in Charlotte, North Carolina, the Company employs approximately 118 people and generated revenue of \$24.3 million and Adjusted EBITDA of \$4.18 million in fiscal 2024, representing an Adjusted EBITDA margin of 17.2%.

Investment Highlights

- **Consistent growth.** Revenue has grown at a 10.8% compound annual rate over the last three fiscal years, from \$19.8 million in 2022 to \$24.3 million in 2024.
- **Attractive revenue mix.** Approximately 71% of revenue is recurring or contracted in nature, providing visibility into forward periods.
- **Diversified customer base.** The Company serves over 200 clients with no meaningful concentration; the largest client represents under 10% of revenue.
- **Experienced management team.** The senior leadership team averages 8 years with the Company and is committed to supporting a transition to new ownership.
- **Fragmented market.** The Company operates in a highly fragmented market with meaningful opportunity for consolidation-led growth.

2. Company Overview

History and Background

Northgate Technology Partners was established in 2009 and has grown from a single-location operator to its current position as a leading regional provider of managed it services. The Company has completed 2 acquisitions since inception and today serves customers from its Charlotte, North Carolina headquarters.

Management has invested consistently in systems, training and service delivery infrastructure, positioning the Company to support continued organic growth as well as integration of acquired operations.

Service Lines

The Company delivers its offering through the service lines described below. Management views the breadth of the offering as a competitive differentiator, enabling the Company to serve as a single-source provider and to expand wallet share within existing accounts over time.

Managed infrastructure and helpdesk

Representing approximately 42% of fiscal 2024 revenue, this service line is delivered by dedicated teams operating under standardized procedures and quality controls. Management believes the offering is well positioned relative to local competitors given the Company's technical depth, response-time commitments and established customer relationships. Pricing is generally established on a contracted annual basis, with periodic escalation provisions.

Cybersecurity monitoring and response

Representing approximately 27% of fiscal 2024 revenue, this service line is delivered by dedicated teams operating under standardized procedures and quality controls. Management believes the offering is well positioned relative to local competitors given the Company's technical depth, response-time commitments and established customer relationships. Pricing is generally established on a time-and-materials basis, with periodic escalation provisions.

Cloud migration and management

Representing approximately 19% of fiscal 2024 revenue, this service line is delivered by dedicated teams operating under standardized procedures and quality controls. Management believes the offering is well positioned relative to local competitors given the Company's technical depth, response-time commitments and established customer relationships. Pricing is generally established on a contracted annual basis, with periodic escalation provisions.

Project-based professional services

Representing approximately 12% of fiscal 2024 revenue, this service line is delivered by dedicated teams operating under standardized procedures and quality controls. Management believes the offering is well positioned relative to local competitors given the Company's technical depth, response-time commitments and established customer relationships. Pricing is generally established on a time-and-materials basis, with periodic escalation provisions.

End Markets

The Company serves a diversified set of end markets, which management believes reduces exposure to any single sector's cyclicalities:

- **Professional services.** Customers in this segment value reliability, responsiveness and compliance documentation. Management believes the Company's positioning in this segment is durable and supports above-market retention.
- **Healthcare.** Customers in this segment value reliability, responsiveness and compliance documentation. Management believes the Company's positioning in this segment is durable and supports above-market retention.
- **Financial services.** Customers in this segment value reliability, responsiveness and compliance documentation. Management believes the Company's positioning in this segment is durable and supports above-market retention.
- **Manufacturing.** Customers in this segment value reliability, responsiveness and compliance documentation. Management believes the Company's positioning in this segment is durable and supports above-market retention.

Facilities

The Company operates from its headquarters facility in Charlotte, North Carolina, together with satellite operating locations supporting field service delivery. All facilities are leased. Management believes existing facilities are adequate to support the business plan without material incremental investment over the forecast period.

Employees

As of the most recent period, the Company employed 118 full-time equivalents. Voluntary turnover has averaged in the low-to-mid teens annually, which management believes compares favorably to industry norms. The Company is not party to any collective bargaining agreement and has not experienced any work stoppage.

Compensation is structured with a base salary component and a variable component tied to utilization, quality and customer satisfaction metrics. Management believes its compensation structure is competitive within its operating geographies and supports continued recruitment.

3. Market Overview

The Managed IT services market is characterized by a large installed base of small, owner-operated providers and limited national scale players. Management estimates the addressable market in the Company's core geography exceeds \$2 billion, of which the Company represents less than 2% share, implying substantial runway for both organic and acquisition-led expansion.

Industry growth is supported by durable secular drivers including aging installed infrastructure, increasing regulatory and compliance requirements, and a continued shift among customers toward outsourced service delivery.

Market Segmentation

Management segments the addressable market by customer size and service intensity. The Company's core focus is the mid-market segment, where customers are large enough to require professionalized service delivery but generally lack the scale to bring the function in-house.

Segment	Est. Market Size	Company Position
Enterprise / national accounts	\$780M	Selective participation
Mid-market	\$1,050M	Core focus
Small / owner-operated	\$310M	Opportunistic

Competitive Positioning

The Company competes primarily against local and regional operators. Management believes the Company's scale, service breadth and systems investment provide meaningful competitive advantages in bidding situations, particularly for larger multi-site accounts.

The competitive set is fragmented, with the majority of participants operating from a single location and generating under \$5 million of annual revenue. Management believes limited succession planning across this cohort creates a durable pipeline of acquisition opportunities at attractive entry valuations relative to the Company's own multiple.

Industry Trends

- **Consolidation.** Private-capital-backed platforms have become increasingly active acquirers of sub-scale operators, though the market remains substantially unconsolidated.
- **Labor availability.** Skilled technical labor remains constrained across the sector; operators with structured training and career pathing have a recruiting advantage.
- **Customer sophistication.** Customers increasingly require documented service levels, compliance reporting and digital access to service history, favoring operators with systems investment.

- **Pricing.** Input cost inflation has generally been passable to customers through contractual escalation provisions, supporting stable gross margin over the periods presented.

4. Historical Financial Performance

The following table summarizes the Company's historical financial performance for the three fiscal years presented. Financial information is unaudited and has been prepared by management on a basis consistent with prior periods.

(\$ in millions)	2022	2023	2024
Revenue	\$19.8	\$22.1	\$24.3
Gross Profit	\$8.3	\$9.3	\$10.2
Gross Margin	42.0%	42.0%	42.0%
Reported EBITDA	\$2.2	\$2.4	\$2.6
Adjusted EBITDA	\$3.4	\$3.8	\$4.2
Adj. EBITDA Margin	17.2%	17.1%	17.2%

Adjusted EBITDA Bridge

Management has presented Adjusted EBITDA for fiscal 2024 reflecting the add-backs set forth below. Management believes these adjustments present a more representative view of the ongoing earnings power of the business under new ownership.

Adjustment	Amount (\$M)	Periods Presented
Reported EBITDA	\$2.61	
One-time platform migration costs	\$0.62	FY2022-FY2024
Owner compensation above market	\$0.41	FY2022-FY2024
One-time recruiting and onboarding	\$0.28	FY2022-FY2024
Non-recurring rebranding initiative	\$0.16	FY2023-FY2024
Transaction costs	\$0.10	FY2024
Adjusted EBITDA	\$4.18	

Add-backs are presented on a pre-tax basis. Prospective purchasers should conduct their own quality of earnings analysis.

Quarterly Revenue Distribution

Recurring managed services revenue is substantially level across quarters; project revenue is weighted toward the fourth quarter.

(\$ in millions)	Q1	Q2	Q3	Q4
2022	\$4.6	\$5.1	\$5.1	\$5.0
2023	\$5.1	\$5.7	\$5.7	\$5.5
2024	\$5.6	\$6.3	\$6.3	\$6.1

Working Capital

The following table presents days sales outstanding for the periods shown. The Company bills monthly in arrears for recurring services and on milestone terms for project work.

Metric	2022	2023	2024
Days Sales Outstanding	44.0	43.1	42.6

5. Customer Base

The Company serves approximately 214 active customer relationships. The table below sets out the largest relationships by share of revenue for fiscal 2024.

Customer	% of Revenue	Tenure (yrs)
Carolina Physicians Network	9.8%	7
Piedmont Capital Advisors	7.2%	5
Queen City Legal Group	6.1%	9
Southeast Precision Mfg.	5.4%	4
Atlantic Insurance Partners	4.9%	6
Top 5 Total	33.4%	

Contractual Arrangements

Managed services agreements are typically 36 months with automatic renewal and contain change-of-control consent requirements for approximately 40% of the contracted base.

Customer relationships have historically demonstrated high retention, with annual revenue retention in excess of 90% across the maintenance base over the periods presented.

Selected Customer Case Studies

Carolina Physicians Network

A customer of the Company for 7 years, this relationship began with a single engagement and has expanded to encompass multiple service lines. The account illustrates the Company's land-and-expand motion: initial scope was limited, with subsequent expansion driven by service quality and responsiveness rather than competitive re-bid. Management believes the relationship is stable and expects continued expansion under new ownership.

Piedmont Capital Advisors

A customer of the Company for 5 years, this relationship began with a single engagement and has expanded to encompass multiple service lines. The account illustrates the Company's land-and-expand motion: initial scope was limited, with subsequent expansion driven by service quality and responsiveness rather than competitive re-bid. Management believes the relationship is stable and expects continued expansion under new ownership.

Queen City Legal Group

A customer of the Company for 9 years, this relationship began with a single engagement and has expanded to encompass multiple service lines. The account illustrates the Company's land-and-expand motion: initial scope was limited, with subsequent expansion driven by service quality and responsiveness rather than competitive re-bid. Management believes the relationship is stable and expects continued expansion under new ownership.

Retention and Churn

Metric	2022	2023	2024
Gross revenue retention	91%	92%	93%
Net revenue retention	104%	106%	108%
Logo churn	7%	6%	6%

Retention statistics are management estimates and have not been independently verified.

6. Management and Organization

Name	Role	Tenure (yrs)
Ryan Doherty	Chief Executive Officer	15
Sofia Lindqvist	Chief Technology Officer	9
Brett Okafor	Chief Financial Officer	2
Hannah Cole	VP Client Success	6

Ryan Doherty, Chief Executive Officer. Founded the Company in 2009 and has served in the current role for 15 years. Is expected to continue with the business following a transaction.

Sofia Lindqvist, Chief Technology Officer. Joined the Company and has served in the current role for 9 years. Is expected to continue with the business following a transaction.

Brett Okafor, Chief Financial Officer. Joined the Company and has served in the current role for 2 years. Is expected to continue with the business following a transaction.

Hannah Cole, VP Client Success. Joined the Company and has served in the current role for 6 years. Is expected to continue with the business following a transaction.

7. Operations and Infrastructure

The Company delivers services through a field organization supported by centralized scheduling, dispatch and quality functions. Management has invested in standardizing service delivery procedures across the organization, which it believes supports both consistent customer outcomes and the efficient integration of acquired operations.

Systems and Technology

The Company operates an integrated field service management platform covering work order management, scheduling, mobile field data capture, inventory and invoicing. Financial reporting is maintained on a commercial accounting package with monthly close completed within fifteen business days. Management believes the current systems environment is adequate to support the business through the forecast period.

Quality and Compliance

The Company maintains documented quality procedures and carries customary general liability, workers compensation, auto and umbrella coverage. There is no pending or threatened litigation that management believes would be material to the Company's operations or financial condition.

Supplier Relationships

The Company sources materials and equipment through national distribution relationships as well as regional suppliers. No single supplier represents a concentration that management believes would be material, and the Company does not have long-term purchase commitments outside the ordinary course.

8. Growth Strategy

Management has identified the following initiatives, which it believes represent actionable near-term opportunities for a new owner:

1. Increase security services attach rate across the managed base

Management believes this initiative is supported by the Company's existing customer relationships, operational infrastructure and market position, and can be executed without material incremental capital investment.

Management has identified an initial set of target accounts and estimates this initiative could contribute incremental revenue equivalent to 9% of the fiscal 2024 base over a three-year horizon, at contribution margins consistent with or above the Company's current blended margin profile. Execution risk is primarily related to hiring and onboarding qualified delivery staff at the required pace.

2. Migrate remaining on-premise clients to managed cloud

Management believes this initiative is supported by the Company's existing customer relationships, operational infrastructure and market position, and can be executed without material incremental capital investment.

Management has identified an initial set of target accounts and estimates this initiative could contribute incremental revenue equivalent to 5% of the fiscal 2024 base over a three-year horizon, at contribution margins consistent with or above the Company's current blended margin profile. Execution risk is primarily related to hiring and onboarding qualified delivery staff at the required pace.

3. Acquire sub-scale regional MSPs in adjacent metros

Management believes this initiative is supported by the Company's existing customer relationships, operational infrastructure and market position, and can be executed without material incremental capital investment.

Management has identified an initial set of target accounts and estimates this initiative could contribute incremental revenue equivalent to 7% of the fiscal 2024 base over a three-year horizon, at contribution margins consistent with or above the Company's current blended margin profile. Execution risk is primarily related to hiring and onboarding qualified delivery staff at the required pace.

4. Launch co-managed IT offering for larger enterprise accounts

Management believes this initiative is supported by the Company's existing customer relationships, operational infrastructure and market position, and can be executed without material incremental capital investment.

Management has identified an initial set of target accounts and estimates this initiative could contribute incremental revenue equivalent to 6% of the fiscal 2024 base over a three-year horizon, at contribution margins consistent with or above the Company's current blended margin profile. Execution risk is primarily

related to hiring and onboarding qualified delivery staff at the required pace.

Financial Outlook

Management has prepared the illustrative projections below. These projections reflect management's current expectations and are subject to significant business, economic and competitive uncertainties, many of which are beyond the Company's control. Actual results may differ materially.

(\$ in millions)	FY2025E	FY2026E	FY2027E
Revenue	\$27.2	\$30.5	\$34.1
Adjusted EBITDA	\$4.93	\$5.82	\$6.87
Adj. EBITDA Margin	18.1%	19.1%	20.1%

Projections assume continued execution of the initiatives described above, no material change in competitive or macroeconomic conditions, and retention of key personnel and customer relationships.

9. Transaction Overview

The shareholders of the Company are seeking a transaction with a partner capable of supporting the Company's next phase of growth. The Company is being offered on a debt-free, cash-free basis with a normalized level of working capital.

Item	Value
Enterprise Value (asking)	\$33.4M
Implied Multiple (FY2024 Adj. EBITDA)	8.0x
FY2024 Adjusted EBITDA	\$4.18M
FY2024 Revenue	\$24.3M

Process

Indications of interest are requested by the date set forth in the process letter. Management presentations will be scheduled with selected parties, followed by a confirmatory diligence period and access to a virtual data room.

Risk Factors

Prospective purchasers should consider, among other factors, the following. This list is not exhaustive and is not presented in order of significance.

- **Economic conditions.** The Company's customers may reduce discretionary spending in a downturn, which could affect project and enhancement revenue in particular.
- **Key personnel.** The Company's performance depends on its ability to retain senior management and skilled delivery staff. The loss of key personnel could adversely affect operations and customer relationships.
- **Customer relationships.** Customer agreements may generally be terminated on notice. The loss of one or more significant relationships could have a material effect on results.
- **Competition.** The Company operates in a competitive market and may face pricing pressure from existing or new entrants.
- **Labor costs.** Wage inflation and constrained availability of skilled labor could compress margins if cost increases cannot be passed through.
- **Acquisition integration.** The Company's growth plan contemplates acquisitions. Integration may prove more difficult or costly than anticipated.
- **Financial information.** Financial information presented herein is unaudited and has been prepared by management. Prospective purchasers should conduct independent verification.

Appendix A — Supplemental Financial Detail

Monthly Revenue Detail — Fiscal 2024

Month	Revenue (\$M)	Month	Revenue (\$M)
Jan	\$1.86	Jul	\$2.11
Feb	\$1.86	Aug	\$2.11
Mar	\$1.86	Sep	\$2.11
Apr	\$2.11	Oct	\$2.02
May	\$2.11	Nov	\$2.02
Jun	\$2.11	Dec	\$2.02

Summary Balance Sheet

(\$ in millions)	FY2024
Cash and equivalents	\$0.97
Accounts receivable	\$2.84
Inventory and other current	\$0.73
Property and equipment, net	\$2.67
Total assets	\$7.21
Accounts payable and accrued	\$1.70
Total liabilities	\$2.19

Capital Expenditures

(\$ in millions)	2022	2023	2024
Maintenance capex	\$0.24	\$0.27	\$0.29
Growth capex	\$0.16	\$0.18	\$0.19
Total capex	\$0.40	\$0.44	\$0.49
% of revenue	2.0%	2.0%	2.0%

Capital expenditure requirements are modest and primarily relate to vehicle and equipment replacement on a normal replacement cycle.